

Financial Markets and Investments in China

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Introduction to the Chinese Financial System

LECTURE 1 INTRODUCTION

Introduction

- Overview of financial assets in China
- Overview of financial markets in China
- Overview of financial institutions in China

The concept of finance

- 1. Capital surplus and capital shortage
 - **Fund surplus department:** in social life, the department whose income is greater than the expenditure is called fund surplus department;
 - **Fund shortage department:** the department whose expenditure is greater than income is called fund shortage department.
- In general
 - governments and enterprises are the ones who are short of funds
 - individuals are the ones who are in surplus

Q: How can the surplus sector be injected into the capital shortage sector?

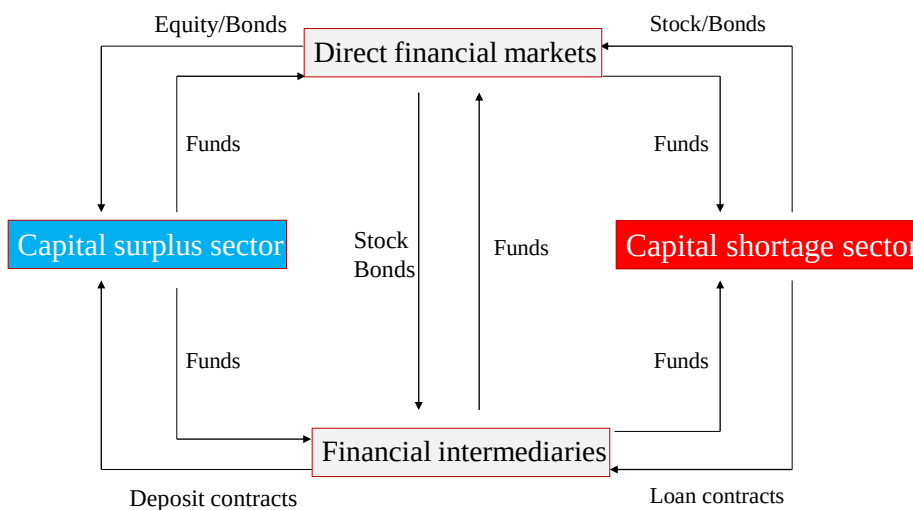
The concept of finance

- 2. The connection mechanism between the capital surplus and the capital shortage (the saving-investment transformation mechanisms)
 - **Fiscal** transformation mechanism:
 - The financial surplus of the society is concentrated through fiscal revenue (taxation), which is then distributed to the various corporate sectors through fiscal expenditure.
 - **Financial** transformation mechanism:
 - Linking surplus and shortage of funds through the financial system.
 - The carrier of transformation: banks and other financial institutions

The concept of finance

- 3. The meaning and classification of finance
 - Finance is a general term for all economic relations and transactions related to money and credit.
 - Classification of finance: direct finance and indirect finance
 - **Direct finance:** refers to the financing mode in which both investment and financing parties directly form creditor's rights and liabilities relationship without financial institutions.
 - Such as stocks and bonds, etc.
 - **Indirect finance:** refers to the financing method carried out by financial intermediaries. There is no one-to-one relationship between investment and financing parties.
 - Such as bank deposit contracts, loan contracts, etc.

Money movement in the financial system



The concept of an asset

- Assets: resources (including claims and property rights) that are valuable in exchange.
- Classification of assets
 - Tangible assets
 - or real assets, are valuable ownership rights with a specific physical form.
 - Intangible assets
 - Ownership rights that have no specific physical form but can bring benefits.
 - These include: patents, trademarks, goodwill, etc., and financial assets.

Financial Assets

- Financial assets are the ownership or claim of one party to the other party for future payment based on a credit relationship.
 - Such as money, savings deposits, bonds, stocks, commercial paper, insurance policies, repurchase agreements, futures and options contracts, etc.
- Two types of financial assets:
 - Financial assets developed by non-financial institutions: such as private lending receipts, private fund-raising certificates, deposit and loan certificates, trust certificates, mortgage receipts, etc.
 - Financial assets developed by financial institutions: such as currency issued by central banks, deposits and loans of commercial banks, stocks, bonds, derivatives, etc.
- Financial assets developed and issued by financial institutions are also called “financial products”.

Financial Products

- Financial products refer to standardized financial assets developed and issued by financial institutions.
- Compared with general financial assets, financial products have the characteristics of standardization:
 - They have standard and unified face value, maturity, yield and other characteristics, so they are suitable for large-scale issuance.
 - For example, savings deposits, the corresponding interest rates are stipulated according to different maturities, so each file of savings deposits becomes a standardized design of financial products.
- When financial products have standard trading units, such as stocks, bonds, funds, etc., they become “financial instruments”.

Financial Instruments

- Financial instruments are financial products that are tradable.
 - Tradable is mainly reflected in the provisions of having standardized trading units.
- A financial product has the characteristics of standardization, but is not necessarily tradable because it does not necessarily have standardized trading units.
 - A standard unit of quantity is not specified for a general savings deposit, and once such a regulation is provided, a savings deposit becomes a tradable financial instrument.
 - For example, certificates of deposit are not only financial products, but also financial instruments because they have a specified number of units and tradable.

Classification of financial instruments

- According to their duration
 - Short-term financial instruments are money market instruments, such as short-term bonds, certificates of deposit within one year, repurchase agreements, etc.
 - Long-term financial instruments are capital market instruments, such as medium and long term bonds, stocks, etc.
 - ✓ The former are classified as money securities, while the latter are classified as capital securities.
- According to their markets:
 - Money market instruments, such as Treasury bills, commercial papers, certificates of deposit, bank bills of deposit, etc.;
 - Capital market instruments, such as all kinds of long-term bonds, all kinds of stocks, all kinds of investment funds;
 - Derivative market instruments, such as futures, options, swaps, forwards, etc.

Global and China's financial assets in 2024

- As of 2024 Q2, the global financial assets are estimated to total more than \$500 trillion, according to a report by Ernst & Young.
- By the end of second quarter of 2024
 - China's financial industry institutions' total assets were 480.64 trillion yuan
 - the total assets of banking institutions were 433.10 trillion yuan,
 - the total assets of securities industry institutions were 13.75 trillion yuan,
 - the total assets of insurance industry institutions were 33.80 trillion yuan.

FINANCIAL MARKETS

Overview of financial markets

- Financial market concepts
- Financial market classification
- Functions of financial markets
- Development trend of financial markets

What are markets?

- A market is a mechanism by which buyers and sellers interact and together determine the price and quantity of a good or service to be traded.
 - Place
 - Supply and demand
 - Operation mechanism, mainly pricing mechanism

Types of markets in the economy

- In terms of economic system, there are three main types of markets:
 - Factor markets (or called “resource markets”)
 - Product markets
 - Financial markets

What is a financial market?

- Financial market is the general name of various markets in the financial field. It is a place where various financial instruments are traded.
- A financial market provides a channel for the conversion of savings into investment (real investment) through the trading of financial assets.
 - Savers' savings are transferred to individuals or enterprises in need of funds through financial assets.
 - Savers become investors by lending real money and acquiring financial assets.
 - Financial markets attract the entry and formation of savings funds, while setting the interest rate on funds and the price of securities.

The components of financial markets

- Financial markets include subjects, objects, intermediaries and regulators.
 - (1) Subjects of the financial market
 - The parties involved in the transactions of the financial market are the subjects of the financial market. They include enterprises, governments and government agencies, financial institutions and individual residents (households).
 - (2) Objects of the financial market
 - The financial instruments are the transaction objects of the financial market. They include inter-bank lending, bills, bonds, stocks, foreign exchange and financial derivatives.
 - (3) Intermediation of financial market
 - Intermediation plays a role of medium or bridge between capital suppliers and capital demanders. They can be divided into two types: transaction intermediaries and service intermediaries.
 - (4) Regulatory agency
 - An institution that supervises and regulates the financial system of a country according to the law. Such as the central bank or SEC (U.S. Securities and Exchange Commission)

Classification of financial markets

(1) Classification by transaction objects

- 1. Money market: the market for issuing and trading monetary instruments
- 2. Capital market: the market for issuing and trading capital instruments
- 3. Foreign exchange market: the market for issuing and trading of foreign exchange instruments
- 4. Gold market: gold instrument issuance and trading market
- There are also capital lending market, insurance market, etc.

Classification of financial markets

(2) Classification by financing methods

- 1. Direct financing markets
- 2. Indirect financing markets

Classification of financial markets

(3) Classification by characteristics of transaction level

- 1. Issuance market: primary market
- 2. Circulation market: secondary market

Classification of financial markets

(4) Classification according to transaction and pricing methods

- 1. Open market: a market with free bidding and open bidding
- 2. Negotiated market: a market in which buyers and sellers negotiate with each other to reach a deal

Classification of financial markets

(5) Classification according to organizing methods

- 1. Visible markets: such as Exchange
- 2. Invisible markets: such as Over-the-Counter (OTC)

Classification of financial markets

(6) By means of delivery

- 1. Spot market (stocks, bonds, etc.)
- 2. Derivative market (futures, forwards, swaps, etc.)

Classification of financial markets

(7) By regions

- 1. national market, domestic market
- 2. international market, global market

Discussion: The function of financial markets

- Saving function
- Wealth function
- Liquidity function
- Credit function
- Payment function
- Price function
- Cost function
- Risk function
- Policy function

The current situation of China's financial market

- Nowadays, China has gradually formed a financial market system composed of money market, bond market, stock market, foreign exchange market, gold market, commodity futures market and financial derivatives market.
- Current China's financial market has the characteristics of
 - Multi-level trading venues
 - Diversified trading varieties
 - Diversified trading mechanisms

Money markets

- Also known as short-term financial markets, are markets where financial assets with maturities of less than one year are traded.
 - It generally refers to the markets where short-term credit instruments such as Treasury bonds, commercial papers, bank acceptance drafts, negotiable certificates of deposit and repurchase agreements are traded.
- The main function of money market: maintain the liquidity of financial assets.
 - On the one hand, to meet the short-term funding needs of borrowers;
 - On the other hand, to find a way out for temporarily idle funds.
- Characteristics: low risk, low return, short maturity, strong liquidity, and large trading volume.
- The interbank bond market plays a leading role in the money market.

Capital markets

- Also known as the long-term securities market, usually refers to the market where medium and long term (over a year) funds (or assets) are traded.
 - It is the place where stocks, bonds, investment funds and other securities are issued and traded.
- Because it involves funds with long term, high risk, with long-term stable income, similar to capital investment, it is called “capital market”.
- The capital market can be divided into
 - primary market
 - secondary market

Primary market and secondary market

- The primary market is the market where securities are issued.
 - The primary function of the primary market is to raise funds: enterprises or governments that need to raise funds issue securities and raise funds in this market.
 - Two ways to issue new securities: public offering and private offering.
 - Private placement means that the issuer sells securities directly to specific investors;
 - Public offering refers to the offering of securities to the public (general investors).
- The secondary market is the market where securities that have been issued are traded.
 - The most important function of the secondary market is to realize the liquidity of financial assets.
 - The secondary market is premised on the existence of the primary market. There is no issuance of securities, not to mention the resale of securities.
 - The development of primary market also depends on the secondary market. Without a secondary market, newly issued securities would be illiquid and difficult to sell, resulting in a shrinking primary market that would not exist.

Foreign exchange market

- The foreign exchange market is a place where all kinds of currencies are traded to meet all kinds of exchange needs.
- The modern international foreign exchange market is actually a worldwide telecommunications network for foreign exchange transactions.
- There are visible foreign exchange market and invisible foreign exchange market.
- Participants and trading methods in the foreign exchange market
 - Participants: foreign exchange banks, foreign exchange brokers, central banks, and numerous importers and exporters, non-traded foreign exchange suppliers and buyers, and foreign exchange speculators.
 - Trading methods: spot, forward, futures, options, swaps, and a variety of methods.

Financial derivatives market

- Derivatives are a general term for various contracts and their combinations derived from the original financial products.
 - Derivatives have not been in China for a long time and are still in the initial stage of development.
 - At present, China's derivatives market mainly includes the following instruments.
 - Forwards
 - Contracts in which the parties agree to buy or sell an agreed quantity of the underlying asset at an agreed price at a future date. Such as forward interest rate agreements, forward foreign exchange contracts, forward stock contracts and so on.
 - Futures
 - Standardized contracts that are uniformly formulated by futures exchanges and stipulate the delivery of a certain quantity and quality of the subject matter at a certain time and place in the future. Futures can be divided into commodity futures and financial futures.
 - Option
 - An option is the right to buy or sell a specified amount of a specified asset at a specified price in the future. A financial option is an option contract based on a financial commodity or financial futures contract.
 - Swap
 - A swap is a contract whereby the parties exchange a series of payments or receipts for different financial instruments within an agreed period of time on agreed terms. The main types of swap contracts are currency swaps, interest rate swaps and foreign exchange swaps.
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FINANCIAL INSTITUTIONS

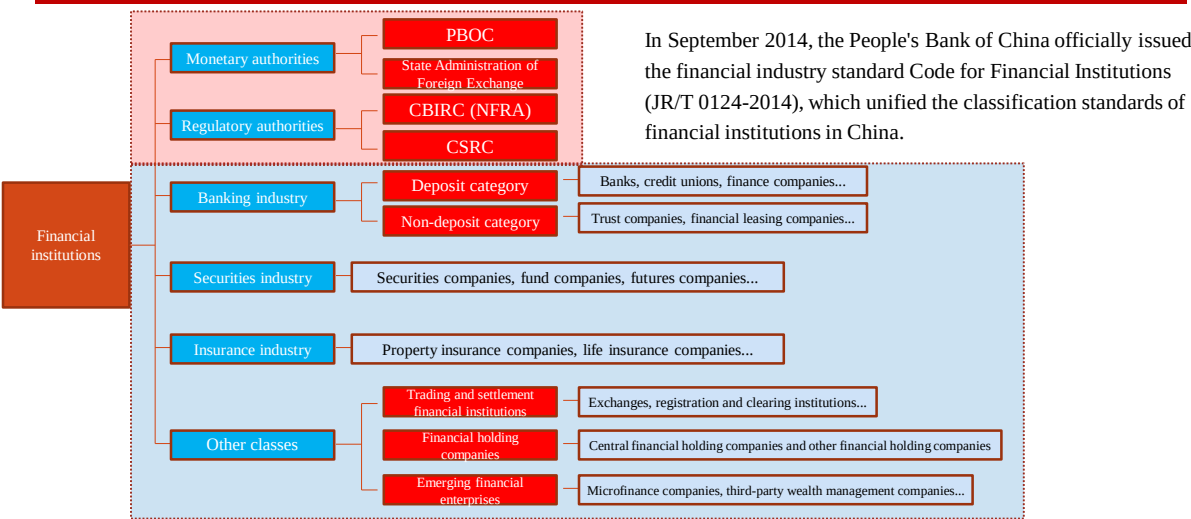
Financial Institutions

- Financial institutions are entities that help individuals and businesses fulfill their monetary or financial requirements, either by depositing money, investing it, or managing it.
- Financial institutions are the most important participants and regulators in the financial market.
- Classification of financial institutions:
 - Broad definition includes "financial regulators" and "financial intermediaries".
 - Narrow definition generally refers to “financial intermediaries” only.

Classification of financial institutions

- **Financial Regulatory Authority**
 - A body that is required by law to supervise and regulate a country's financial system.
 - Its responsibilities include:
 - Supervising and regulating financial markets in accordance with regulations;
 - To issue orders and regulations relating to financial supervision, regulation and business operations;
 - To supervise and administer the lawful and compliant operation of financial institutions, etc.
- **Financial Intermediaries**
 - A financial institution that issues indirect financing contracts (such as certificates of deposit) to those with surplus funds, and reaches indirect investment contracts (credit issuance) or purchases securities issued by those with shortage funds, to facilitate inter-temporal and inter-domain allocation of funds.
 - It is divided into “banks” and “non-bank financial institutions”.

China's classification of financial institutions



FINANCIAL REGULATORY AUTHORITIES

Financial regulators

- A financial regulator is an institution that supervises and regulates a country's financial system in accordance with legal requirements.
- The responsibilities of the financial supervisory authority include
 - Supervise and regulate financial markets in accordance with regulations;
 - To issue orders and rules relating to financial supervision, administration and business;
 - To supervise and administer the lawful and compliant operation of financial institutions.
- China's financial regulatory agencies include: (“一行一局一会”)
 - the People's Bank of China (PBC); the State Administration of Foreign Exchange (SAFE)
 - National Financial Regulatory Administration
 - It was “the China Banking and Insurance Regulatory Commission (CBIRC)”
 - the China Securities Regulatory Commission (CSRC)

(1) The People's Bank of China

- Establishment: In 1948
- Nature: China's central bank
- Functions:
 - Bank of money issuing: Monopolize the issuance of RMB.
 - Bank of the government: To manage the financial institutions and financial activities of the whole country on behalf of the government, to manage the national Treasury.
 - Bank of banks: To provides financial support to commercial banks.

(2) China Banking Regulatory Commission

- **Establishment:** In 2003, the banking supervision functions originally exercised by the People's Bank of China were separated, and the China Banking Regulatory Commission (CBRC) was established.
- **Scope of supervision:** commercial banks, urban credit cooperatives, rural credit cooperatives, policy banks, financial asset management companies, trust and investment companies, financial companies, financial leasing companies, etc.
- **Main responsibilities:**
 - To formulate rules, regulations and measures for the supervision of banking financial institutions.
 - To examine and approve the establishment, alteration and termination of banking financial institutions and their business.
 - To conduct on-site and off-site supervision of the banking industry, investigate and punish illegal acts in accordance with the law, and examine the qualifications of senior executives of banking institutions.
 - To be responsible for the unified preparation of national banking data and statements, and publish them in accordance with relevant state regulations.
 - To put forward opinions and suggestions on emergency risk disposal of deposit-taking financial institutions.

(3) China Insurance Regulatory Commission

- **Establishment:** On November 18, 1998
- **The China Insurance Regulatory Commission (CIRC)** is responsible for supervising the national commercial insurance market
- **Main responsibilities:**
 - To conduct unified supervision and administration of the national insurance market.
 - To examine, approve and manage the establishment, alteration and termination of insurance companies, insurance agents and insurance broker institutions.
 - To formulate basic clauses and premium rates for major types of insurance, examine other clauses and premium rates reported by insurance companies, and maintain the order of the insurance market.
 - To supervise and inspect insurance business activities. To conduct regular or irregular on-site and off-site inspections on the business status, financial status and utilization of funds of insurance companies.
 - To investigate and punish the illegal and non-compliant behaviors of insurance institutions.

China Banking and Insurance Regulatory Commission

- Establishment: On April 8, 2018, China Banking and Insurance Regulatory Commission (CBIRC) was officially launched.
- It has effectively inherited the functions of the CBRC and CIRC.
- Main responsibilities:
 - To oversee and administer the banking and insurance industries in accordance with laws and regulations.
 - To safeguard the legal and sound operation of the banking and insurance industries.
 - To prevent and defuse financial risks, and protect the legitimate rights and interests of financial consumers.
 - To safeguard financial stability.

National Financial Regulatory Administration

- Established in March 2023 to replace the China Banking and Insurance Regulatory Commission. A financial regulatory body under the State Council.
- Main responsibilities
 - Unified financial industry supervision: It is responsible for the supervision of the financial industry except for the securities industry, and continuous supervision to maintain the legitimate and stable operation of the financial industry.
 - Consumer protection: It takes charge of coordinating the protection of financial consumers' rights and interests, establishing and improving relevant protection systems.
 - Other key duties: It conducts systematic research on issues related to the reform and opening up of the financial industry and the effectiveness of supervision. It is also responsible for the establishment of a financial inspection system, and handling of illegal financial activities of banking institutions, insurance institutions, and financial holding companies.
- Significance of establishment
 - Enhanced regulatory efficiency: By unifying the supervision of the financial industry except for securities, it can avoid problems of multiple supervision or regulatory gaps, improving regulatory efficiency.

(4) China Securities Regulatory Commission

- Establishment: In October 1992, China Securities Regulatory Commission (CSRC) is responsible for supervision on securities markets.
- Main responsibilities:
 - To formulate guidelines, policies and development plans for securities and futures markets, and draft laws and regulations related to securities and futures markets.
 - To supervise securities and futures institutions in a unified manner.
 - To be responsible for the supervision and administration of the issuance and trading of securities.
 - To be responsible for the supervision of listed companies and their information disclosure, and to improve the quality of information disclosure.

(5) The State Administration of Foreign Exchange

- Establishment: in 1979
- The State Administration of Foreign Exchange (SAFE) is a functional institution directly under The State Council and administered by the People's Bank of China to implement state foreign exchange control.
- Main responsibilities:
 - Responsible for the statistics and management of the balance of payments, prepare the balance of payments, and put forward policy suggestions for maintaining the balance of payments
 - Responsible for the administration of the foreign exchange market, supervise and administer the operation order of the foreign exchange market, and foster and develop the foreign exchange market
 - Responsible for the administration of foreign debts, formulate the measures for the administration of exchange under current account; Standardize the management of foreign exchange accounts, supervise and manage foreign exchange transactions under capital accounts.
 - To manage the state's foreign exchange reserves as entrusted by the People's Bank of China.

Discussion: The role of financial regulators

- Financial regulation is an important guarantee to ensure the sound operation of financial institutions, maintain the stability of social money and credit system, and promote economic development.
 - Maintain the stability of credit and payment systems.
 - Protect the interests of depositors, investors and the insured.
 - Ensure that financial institutions operate in accordance with the law.
 - Promote fair competition among financial institutions.
 - Solve the irrational behavior problem of financial institutions caused by information asymmetry.
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FINANCIAL INTERMEDIARIES

The financial intermediation system

- In China, the financial intermediary system is a system with the People's Bank of China as the leader, state-owned commercial banks as the main body, coexistence of various financial institutions.
- The composition:
 - Banking financial institutions
 - Central banks; Policy banks; Wholly state-owned commercial banks; other commercial banks; Rural and urban credit cooperatives;
 - Non-banking financial institutions
 - Securities companies (investment banks); Insurance companies; Pension funds; other non-bank financial institutions.

Banking financial institutions

- Central banks
- Policy banks
- Commercial banks
 - State-owned commercial banks
 - Joint-stock commercial banks
 - Local commercial banks
 - City commercial banks
 - Rural commercial banks
 - Credit cooperatives

Central Bank

- A central bank is not only an important regulator of financial markets, it is also an active participant of financial markets.
- Three basic functions of a central bank
 - (1) the issuing bank, with the right to issue money;
 - (2) the national bank, which acts as an agent for the Treasury;
 - (3) the bank of banks, which supports and supervises other financial institutions.
- Using financial markets to implement monetary policies;
- Using financial markets to influence interest rates and thus macroeconomic operations;
- To supervise financial institutions and markets.

People's Bank of China

- The central bank of China is the People's Bank of China (PBOC).
- The scope of business of the PBOC is as follows:
 - Using monetary policy tools to regulate the supply of money in the market.
 - Issuing RMB and managing the circulation of RMB.
 - To manage the national Treasury and issue government bonds as an agent.
 - Open accounts for various financial institutions.
 - To organize the clearing system among banking financial institutions and coordinate the clearing matters among banking financial institutions.
 - It may decide on loans to commercial banks as required by the implementation of monetary policies.

Policy Banks

- Definition: A bank invested and established by the government to specialize in policy-based financial services according to the government's decision and intention.
- Capital sources:
 - (1) fiscal revenue allocation,
 - (2) capital allocated at the time of establishment,
 - (3) issuing financial bonds.
- Characteristics:
 - Controlled by the government. The capital is generally allocated by the government.
 - Non-profit. The operation of policy banks mainly considers the overall interests of the country and does not take profit as the purpose. It only makes a small profit.
 - Non-commercial. The main source of funds is the issuance of financial bonds or borrowing from the central bank, and no deposits are taken from the public.
 - It does not compete with commercial banks in business.

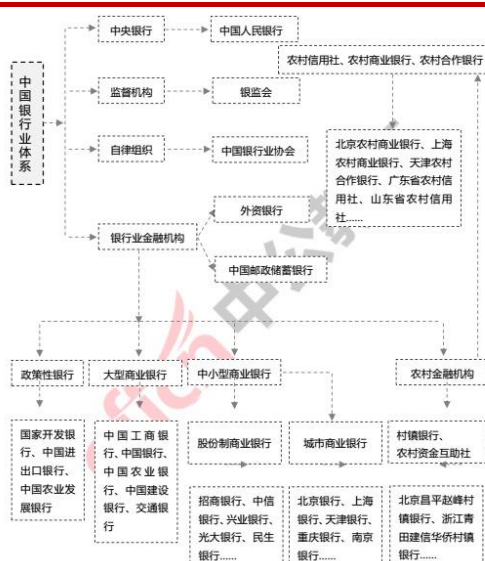
Commercial Banks

- A commercial bank is a financial institution which accepts deposits from the public and gives loans for the purposes of consumption and investment to make profit.
- Characteristics: It absorbs deposits and creates money.
- In addition to the traditional deposit, loan and intermediary business, with the development of the financial market and the relaxation of financial regulation, the business composition of commercial banks has undergone great changes.
- Commercial banks are not only the suppliers of funds, but also the demanders of funds, and almost participate in all the activities of the financial market.

China's commercial banking system

- 1. State-owned commercial banks
- 2. Joint-stock commercial banks
- 3. City commercial banks
- 4. Rural commercial banks

China's banking system



Non-banking financial institutions

- Capital market financial institutions
- Other financial institutions

Capital market financial institutions

- (1) Securities companies
- (2) Fund management companies
- (3) Stock exchanges

(1) Securities companies

- What is a securities company?
 - It refers to an institution specializing in securities business. It has the membership of the stock exchange, and can underwrite and issue securities, buy and sell securities on its own or as an agent. The securities investment of ordinary investors must be carried out through securities companies.
 - Securities companies are often referred to as "securities brokers".
- In different countries, securities companies have different titles.
 - In US, a securities firm is called an "Investment Bank" or "Broker-Dealer";
 - In Britain, a securities firm is called a "Merchant Bank".
 - In continental Europe (notably Germany), investment banks are only a division of Universal banks because of their continued use of mixed banking systems.
 - In East Asia, it is called a "Securities Company".

(1) Securities companies

- Main businesses of securities companies:
 - Investment banking business (underwriting)
 - assisting the government or industrial and commercial enterprises to sell newly issued securities, providing financial advisers to enterprises, helping enterprises to restructure assets, etc.
 - Brokerage business
 - buying and selling of issued securities on behalf of their clients.
 - Dealership business
 - buying and selling securities on their own accounts to obtain investment income.
 - Asset management business
 - make well-timed investment decisions on behalf of their clients.

(2) Fund management companies

- What are investment funds?
 - Investment funds are investment products created with the sole purpose of gathering investors' capital, and investing that capital collectively through a portfolio of financial instruments such as stocks, bonds and other securities.
 - Investment fund is a kind of joint investment organization form that is managed by experts.
- As an institutional investor, fund management companies gather many scattered idle funds for portfolio investment by issuing fund shares, so as to enable fund holders to realize the purpose of income sharing and risk sharing.
- The benefits and risks are shared by the investors, while the management organization obtains the management fees.

(2) Fund management companies

- The characteristics of investment fund
 - Large scale of capital;
 - Good stability;
 - Conducting analysis and operate rationally;
 - Generally do portfolio investment;
 - Various organizational forms and investment strategies are available;
 - Expert management, fund performance is more guaranteed;
 - Operation is subject to strict supervision.

(3) Stock exchanges

- A stock exchange refers to a legal entity established according to law and not for profit, providing places and facilities for centralized and organized trading of securities, performing relevant duties and exercising self-regulatory management.
- There are three stock exchanges in mainland China
 - Shanghai Stock Exchange (SSE) was established on November 26, 1990
 - Shenzhen Stock Exchange (SZSE) was established on December 1, 1990
 - Beijing Stock Exchange (BSE) was established on November 15, 2021

The main differences among SSE, SZSE and BSE

- **The types of listed enterprises** are different:
 - the Shanghai Stock Exchange is mainly based on state-owned enterprises, science and technology innovation board;
 - the Shenzhen Stock Exchange is mainly based on leading private enterprises, and growth enterprise board;
 - the Beijing Stock exchange is mainly based on special new small and medium-sized enterprises, some selected small companies.
- **The sources of listed companies** are different:
 - the sources of Shanghai and Shenzhen stock exchanges are nationwide,
 - the sources of BSE companies are mainly from the innovation layer and basic layer of the New Third Board.
- **Different requirements for listed market value:**
 - the minimum market value of Shenzhen Stock Exchange and Shanghai Stock Exchange is 1 billion yuan;
 - the minimum market value of the Beijing Stock Exchange is 200 million yuan.
- **The minimum profit standard** is different:
 - the minimum profit standard of SSE and SZSE for two years is positive, and the accumulated net profit is 50 million yuan;
 - the Beijing Stock Exchange only needs an average net profit of more than 15 million yuan in the past two years.
- **The daily volatility limit for individual stocks** is different:
 - the limit for individual stocks on the Shanghai and Shenzhen exchanges is 10 percent;
 - the limit for individual stocks on the BSE is 30 percent.
- **Different organizational systems:**
 - the Shanghai and Shenzhen stock exchanges have a membership system;
 - the Beijing Stock Exchange has a corporation system.

Other financial institutions

- (1) Financial asset management companies
- (2) Insurance companies
- (3) Trust investment companies
- (4) Financial leasing companies
- (5) Finance companies
- (6) Auto finance companies

(1) Financial asset management companies

- Financial asset management companies (AMCs) are non-bank financial institutions that are wholly state-owned and funded by the government to acquire and dispose of non-performing loans of wholly state-owned commercial banks.
- The purpose of establishing an asset management company
 - To improve the assets and liabilities of state-owned commercial banks and enhance their credit standing.
 - To use the special legal status and professional advantages of asset management companies to maximize the value recovery of non-performing loans.
 - To implement "debt-to-equity swaps" for qualified enterprises to support large and medium-sized state-owned enterprises in getting out of difficulties.
- Scope of business of financial asset management companies
 - Debt recovery
 - Lease or transfer or restructure the assets formed by the acquired non-performing loans
 - Convert some creditor's rights into equity
 - Underwriting of bonds and stocks for companies within the scope of asset management
 - Financial and legal advice, asset and project evaluation

(2) Insurance companies

- Insurance
 - A contract dealing with the loss caused by natural disaster or accident.
 - Through signing a contract, the insurance applicant pays a certain insurance premium to the underwriter. When the insurance applicant causes economic loss or personal injury due to natural disaster or accident, the underwriter pays the corresponding amount of compensation to the insurance applicant according to the scope of liability agreed in the contract.
- Insurance company
 - A financial institution that conducts insurance business.
 - Insurance companies collect premiums, invest the capital from the premiums in assets such as bonds, stocks, and loans, and use the proceeds from these assets to make profit and pay the insurance benefits determined by the policies.

(2) Insurance companies

- The business of insurance companies falls into two categories:
 - (1) Life insurance
 - including life insurance, health insurance, accident insurance and other insurance business.
 - (2) Property insurance
 - including property loss insurance, liability insurance, credit insurance, guarantee insurance, etc.
- Insurance companies in China are generally not allowed to engage in both life insurance and property insurance business.
- Reinsurance: insurance for insurance companies.
 - Insurance that an insurance company purchases from another insurance company to insulate itself (at least in part) from the risk of a major claims event.
 - China's Insurance Law requires insurers to reinsure 20 percent of each insurance business they underwrite, except for life insurance.

(3) Trust investment companies

- Trust
 - refers to the act by which, on the basis of trust, the principal (trustor) entrusts his property rights to the trustee, and the trustee manages or displaces the trust property in his own name for the benefit of the trustor or for a specific purpose at the will of the trustor.
- A trust investment company: is a financial institution that acts as a trustee to manage financial affairs on behalf of the principal (trustor).
 - Trust is one of the big four financial pillars in China, with a capital scale of more than 20 trillion yuan, second only to the banking industry.
 - Trust companies are the only financial institutions in China that operate across the money market, capital market, and real industry.

The basic credit relations in a trust

- The basic credit relations in a trust:
 - Trustor
 - refers to the owner of the property in the trust relationship, the person who uses the trust method to achieve a specific purpose.
 - Trustee
 - refers to the person who accepts the entrustment of the trustor and manages and disposes of the trust property according to the instructions of the trustor.
 - Beneficiary
 - refers to the person who enjoys the benefits of the trust property during the fiduciary relationship.

(3) Trust investment companies

- In China, the main businesses of trust investment companies include: fund and property entrustment, asset custody, financial leasing, consulting, securities issuance and investment, etc. However, they are not permitted to handle bank deposit.
- Scope of business of trust investment companies in China
 - Operating capital trust business
 - To conduct trust business of movable property, real property and other property
 - To operate investment fund business permitted by relevant laws and regulations
 - To engage in enterprise assets reorganization, merger and acquisition, project financing, corporate finance, financial consulting and other intermediary services
 - To manage the underwriting business of bonds approved by the relevant departments of The State Council
 - Entrusted custody business
 - Credit verification, credit investigation and consulting services, etc

(4) Financial leasing companies

- Leasing refers to the transaction of lending one's own items to others for use in exchange for a specified remuneration.
- Traditional leasing
 - It is limited to the right to use the property, such as the leasing of equipment, it does not involve the sale of equipment, that is, only rent but not sell.
- Financial leasing
 - A kind of leasing activity for the purpose of financing.
 - An alternative financing method where a licensed leasing company (the 'Lessor') purchases an asset on behalf of its customer (the 'Lessee') in exchange for a series of contractually agreed payments, typically including an interest component.
 - The lessor maintains ownership of the asset while the lessee enjoys its use for the duration of the lease agreement. Typically, the lessee has the option to purchase the asset at the end of the contract. The lessee bears all costs and risks associated with the use of the leased asset.

(5) Finance companies

- In China, finance companies, also known as the "internal banks" of enterprises, are financial institutions that raise funds from the public and provide services for the technological transformation, new product development and product sales of enterprise group members.
- Finance companies do not take deposits from the outside world and only serve the enterprises affiliated to the group.
- The main business of the finance company (within the group) :
 - Do deposit, loan, settlement, bill discount, financing lease, investment, entrustment and agency issuance of securities, etc.
 - Do not open private accounts, do not handle small deposits, loans and savings, so as to distinguish from banks.

(5) Finance companies

- China's finance companies can be divided into two main categories:
 - Group finance companies, are non-bank financial institutions that provide financial services to members of an enterprise group;
 - General finance companies, including foreign-funded and Sino-foreign joint venture financial companies, are non-bank financial institutions that provide a wide range of financial services to the public.
- ✓ Finance companies mainly refer to the first category in China.

(6) Auto finance companies

- An auto finance company is a non-bank financial institution that provides financial services to both buyers and sellers of automobiles.
- Features: It combines financial services with specialized services for automobile sales.
- Compared to bank loans, it is more convenient for car buyers to obtain financing from auto finance companies. This is because banks have very strict risk control measures, whereas the threshold for loans from auto finance companies is relatively lower.

Discussion: functions of financial intermediaries

- 1. Reduce transaction costs
 - Financial institutions can save information searching costs and transaction costs for borrowers and lenders
- 2. Transformation of time and space
 - Financial intermediaries aggregate short-term funds into long-term investment, which can overcome the spatial distribution of financial resources and adjust the capital surplus and shortage between regions
- 3. Continuity of liquidity and investment
 - The deposit and loan business of financial institutions can meet the liquidity needs of enterprises in investment and ensure the continuity of investment projects.
- 4. Risk allocation
 - Through financial instruments and intermediaries, the financial system provides opportunities for households and firms to pool and share risk. For example, all types of insurance industry.
- 5. Settlement and payment
 - Financial institutions provide clearing and payment functions for market traders to improve the efficiency of market transactions. For example, paper money instead of gold, checks instead of paper money, electronic transfer instead of check transfer and so on.

China's financial system relationship structure

